 Name _____

Walmart: Reading the Real Financial Statements

Source: Walmart Inc. Form 10-K, fiscal year ended January 31, 2025 (some lines combined) · sec.gov/Archives/edgar/data/104169/000010416925000021/wmt-20250131.htm

Walmart Inc.
Consolidated Statement of Income
(Amounts in millions)

	Fiscal 2025
Net sales	$ 674,538
Membership and other income	6,447
Total revenues	680,985
Cost of sales	511,753
Operating, selling, general & admin. expenses	139,884
Operating income	29,348
Interest, net	2,245
Other (gains) and losses	794
Income before income taxes	26,309
Provision for income taxes	6,152
Consolidated net income	20,157
Less: attributable to noncontrolling interest	(721)
Net income attributable to Walmart	$ 19,436

Walmart Inc.
Consolidated Balance Sheet
(Amounts in millions)

	Jan 31, 2025
Cash and cash equivalents	$ 9,037
Receivables, net	9,975
Inventories	56,435
Prepaid expenses and other	4,011
Total current assets	79,458
Property, leases, goodwill and other	181,365
Total assets	$ 260,823
Accounts payable	$ 58,666
Accrued and other current liabilities	37,918
Total current liabilities	96,584
Long-term debt, leases and other	66,818
Common stock and paid-in capital	6,305
Retained earnings	98,313
Other equity, net	(7,197)
Total equity	97,421
Total liabilities and equity	$ 260,823

FIND IT IN THE STATEMENTS

For each question, write the **account name** and the **amount**. Definitions are on the back.

	ACCOUNT NAME	AMOUNT ($M)
1 How much does Walmart expect to collect from its customers?	**Receivables, net**	**9,975**
2 What did the merchandise Walmart sold this year cost Walmart?	**Cost of sales**	**511,753**
3 What expense did it record for wages, rent, utilities and advertising?	**Operating, SG&A expenses**	**139,884**
4 What is the cost of the goods still on its shelves and in warehouses?	**Inventories**	**56,435**
5 How much does it owe suppliers for goods bought on credit?	**Accounts payable**	**58,666**
6 How much did it earn from its main business, before interest and taxes?	**Operating income**	**29,348**
7 What is the government's share of this year's profit?	**Provision for income taxes**	**6,152**
8 How much profit has it earned over the years and kept in the business?	**Retained earnings**	**98,313**

KEY CONCEPTS (HINTS)

INCOME STATEMENT

Revenue (net sales)
What the company earns from selling goods and services, recorded when *earned*.

Cost of sales (cost of goods sold)
The cost of the inventory that was *sold* during the period. It leaves the balance sheet and becomes an expense.

Gross profit
Net sales − cost of sales.

Operating expenses (SG&A)
Costs of running the business other than the goods themselves: wages, rent, utilities, advertising, depreciation.

Operating income
Revenues − cost of sales − operating expenses. Profit from the main business, before interest and taxes.

Income tax expense (provision)
The government's share of the profit.

Net income
What is left after *all* expenses, interest and taxes.

BALANCE SHEET

Assets = Liabilities + Equity
Everything the company owns is financed by creditors or by owners.

Current assets / current liabilities
Expected to be used up or paid within one year.

Accounts receivable
Amounts customers owe the company, expected to be collected in cash.

Inventory
Goods held for sale, recorded at cost until sold.

Accounts payable
Amounts the company owes suppliers for goods or services bought on credit.

Retained earnings
Total net income earned since the start, minus dividends paid to shareholders.

FINALLY, CALCULATE (USE THE NUMBERS ON THE FRONT)

9 Gross profit margin
= (Net sales − Cost of sales) ÷ Net sales — **24.1%**

10 Net profit margin
= Net income attributable to Walmart ÷ Total revenues — **2.9%**

11 Current ratio
= Total current assets ÷ Total current liabilities — **0.82**

9: 162,785 ÷ 674,538 = 24.1% · 10: 19,436 ÷ 680,985 = 2.9% · 11: 79,458 ÷ 96,584 = 0.82.
Walmart keeps only about 3 cents of every sales dollar as profit. A current ratio below 1 is normal for Walmart: it sells its inventory before it has to pay its suppliers (accounts payable is larger than inventory).

Some lines are combined. "Other equity, net" = accumulated other comprehensive loss (13,605) + noncontrolling interest 6,408. "Long-term debt, leases and other" includes a $271M redeemable noncontrolling interest.